

Long term play remains intact



CDSL's Q4FY22 results were below our estimates due to delay in certain factored in scenarios.

- Revenue from operations came at 1,365.6 Mn (-10% QoQ) (+32.5% YoY)
- EBITDA came at Rs 907 Mn (-12.1% QoQ) (+43.1% YoY)
- EBITDA Margins were at 66.4% (Vs 68.1% QoQ) (Vs 61.5% YoY)
- PAT came at Rs 776.8 Mn (-7.2% QoQ) (+50.1% YoY)
- O. Exp as percentage to Revenue came at 18.1% (Vs 18.6% QoQ) (Vs 22.6% YoY)
- Employee cost as a percentage to Revenue came at 9.6% (Vs 8.6% QoQ) (Vs 11% YoY)

Segmentals:

- Depository Activity EBIT margins stood at 63.2% (Vs 67.4% QoQ) (Vs 63.5% YoY)
- Data entry and storage EBIT margins stood at 67.6% (Vs 64% QoQ) (Vs 52.2% YoY)
- Repository EBIT margins stood at -47.2% (Vs -176.5% QoQ) (Vs -140.2% YoY)
- Depository Activity contributes 73.4% to revenue, Data entry and storage contributes 26% and Repository activities contribute 0.6%.

Outlook

CDSL witnessed flat Transaction based revenue even with positive account additions and lower IPO/Corporate Action charges due to lesser IPOs. We feel that the moderation in participation will continue as long as we face a bear/stagnant market. We believe the volume participation will be driven by bull market. Thus we believe that the moderation in market activity will stay.

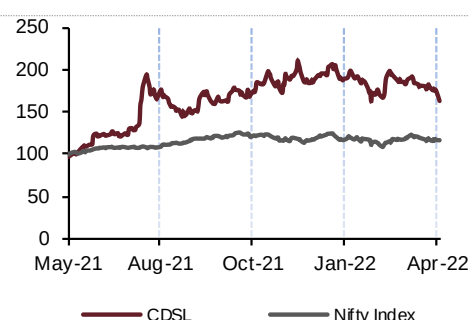
Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	1,600	24

Market data

Current price	Rs	1,295
Market Cap (Rs.Bn)	(Rs Bn)	135
Market Cap (US\$ Mn)	(US\$ Mn)	1,770
Face Value	Rs	10
52 Weeks High/Low	Rs	1734.4 / 770.05
Average Daily Volume	('000)	943
BSE Code		-
Bloomberg		CDSL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	20.000	20.000
Public	80.000	80.000
Total	100	100

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	2,251	3,437	5,513	6,172	7,167
EBITDA	891	2,118	3,669	4,084	4,858
Adjusted net profit	1,067	2,013	3,112	3,342	4,179
Free cash flow	(2,368)	(831)	1,475	2,187	3,120
EPS (Rs)	10.2	19.3	29.8	32.0	40.0
growth (%)	-7%	89%	55%	7%	25%
P/E (x)	127.3	67.5	43.7	40.6	32.5
P/B (x)	18.8	15.5	12.4	11.1	9.8
EV/EBITDA (x)	152.4	63.4	36.5	32.4	26.8
D/E	-	-	-	-	-
ROCE (%)	10.4	23.9	34.3	32.7	35.7
RoE (%)	15.3	25.1	31.7	28.9	31.9
Dividend yield (%)	0.4	0.3	1.4	1.5	1.8

Source: Company

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The potential future opportunities of CDSL are strong (Account Aggregator, Insurance and Commodity Repository businesses) which keep the long term prospects intact but due to downtrend in market participation, we feel in the short term the stock would consolidate.

Conference Call Key Highlights

Operational details:

Total of 89.7 Mn demat accounts as on 31st March out of which 63 Mn with CDSL (70% market share). Live issuer companies stood at 18,268.

In CVL, for the full year:

- 15Mn KYC records created (Vs 0.65 Mn LY)
- 33.8 Mn records fetched (Vs 15 Mn LY)
- 0.32 Mn cKYC records processed (Vs 13 Mn LY)
- 840 companies under RTA (Vs 665 LY)
- 23.3 Mn GST records processed (Vs 26 Mn LY)
- 43 Mn digitized KYC records (Vs 28.1 Mn LY)

Financials for CVL for FY22:

- Revenue stood at 1349.3 Mn Vs 719 Mn LY
- PAT stood at 730.9 Mn Vs 392.8 Mn LY

Costs:

Employee Cost:

- 9.5% increment given in the current year. FY21 saw a reversal of variable pay of Rs 25 Mn of FY20 due to which the growth in employee cost for current year seems high.
- Current year's bonus will be credited next year.

Regulatory costs:

- Include Investor protection fund contribution, incentives to be paid to DPs and contribution to SEBI. IPF contribution is 2/3rd of total regulatory costs.

Future Opportunities:

- Revision in transaction charges are facing a pushback. This may be discussed going forward but not sure when it will be discussed.
- MF Central and Account Aggregator businesses may be monetized but it involves a lot of interplay with a lot of participants. So there is still some time in these spaces.
- Insurance and Repository businesses will need to see some more traction before the regulatory authorities make it mandatory.

- Works on new products are ongoing, for example, including pension data in eCAS statements.
- ONDC: is an alternative ecommerce platform for which contribution is made by institutions and banks and some other players. Current contribution by CDSL stands at 10 Crs.

Outlook:

- Company feels that with the global retail participation moderating, India could witness some moderation too. But India's penetration (as a % of population) is only 7-8%, there is a long way for the market to saturate.
- With LIC's IPO and other start-ups being favored into the IPO culture, the secondary market may see more participation going forward. This will also be pushed with more MF schemes and commodity trading coming in.

Valuation & Outlook

Contrary to the management's opinion, we feel that the moderation in participation will continue as long as we face a bear/stagnant market. We believe the volume participation will be driven by bull market. Thus we believe that the moderation in market activity will stay. This is also supported by lower IPO/Corporate Action Charges (due to lesser IPOs) and flat Transaction Based Revenue even with addition in demat accounts.

Even the future opportunities mentioned above (along with other initiatives like Accreditation Agency and IFSC) will take time to play out. With these details, we are confident that the long term story of CDSL remains intact. However, the short term may face consolidation due to participation tapering off.

With the above mentioned reasons, we believe one needs to keep a watch at the short term performance. **We have revised our EPS and price target multiple and downgraded our rating from BUY to ACCUMULATE.**

Our EPS for FY23/FY24 are 32/40 and we assign price target multiple of 40x (earlier 44x but reduced due to the above mentioned reasons) **to arrive at target of 1600** (earlier 1763). We downgrade our rating from BUY to **ACCUMULATE** as we believe the stock may face pressure in short term but will be a good phase to add.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	2,251	3,437	5,513	6,172	7,167
<i>Growth %</i>	14.7%	52.7%	60.4%	11.9%	16.1%
Other Operating Income					
Total Revenue	2,251	3,437	5,513	6,172	7,167
<i>Growth %</i>	15%	53%	60%	12%	16%
Less:					
Employee Cost	473	413	506	578	647
Cost of Software developments					
SG&A Expenses & Other	707	809	1,339	1,510	1,661
Total Operating Expenditure	1,180	1,222	1,845	2,088	2,309
EBIDTA	1,071	2,215	3,669	4,084	4,858
<i>Growth %</i>	-4.2%	106.8%	65.6%	11.3%	19.0%
<i>Growth %</i>	-4%	107%	66%	11%	19%
Less: Depreciation	117	92	115	172	138
EBIT	954	2,123	3,554	3,912	4,721
<i>Growth %</i>	-6.4%	122.6%	67.4%	10.1%	20.7%
Interest Paid	0	0	-0	-1	-1
Non-operating Income	591	569	546	436	712
Profit Before tax	1,545	2,692	4,100	4,349	5,434
Tax	297	583	967	1,000	1,250
Net Profit before Minority	1,248	2,109	3,132	3,349	4,184
Minority Interest	0	0	6	6	6
Profit/Loss of Associate Company	0	0	-14	0	0
Net Profit	1,248	2,109	3,125	3,355	4,190
Adjusted Profit	1,067	2,013	3,125	3,355	4,179
<i>Growth %</i>	-7%	89%	55%	7%	25%
Reported Diluted EPS Rs	10.2	19.3	29.8	32.0	40.0
<i>Growth %</i>	-7.1%	88.6%	54.6%	7.4%	25.0%
Adjusted Diluted EPS Rs	10.2	19.3	29.9	32.1	40.0

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	1,045	1,045	1,045	1,045	1,045
Reserves & Surplus	6,195	7,727	9,884	11,214	12,885
Equity	7,240	8,772	10,929	12,259	13,930
Preference Share Capital					
Net Worth	7,240	8,772	10,929	12,259	13,930
Minority Interest	419	428	434	0	0
Net Deferred tax liability/(Asset)	20	23	58	58	58
Total Loans	0	0	0	0	0
Lease Liabilities	39	26	77	77	77
Capital Employed	7,718	9,249	11,499	12,394	14,066
Assets					
Gross Block	951	986	1,036	1,086	1,136
Less: Depreciation	240	305	420	591	729
Net Block	711	681	616	495	407
Capital WIP	0	101	0	0	0
Right of Use Assets	4	3	3	3	3
Investments	2,734	1,665	2,898	2,898	2,898
Intangible Assets	28	178	240	38	38
Others Assets	319	158	184	525	609
Current Assets					
Sundry Debtors	260	237	458	507	589
Current Investments	3,912	5,429	6,396	6,396	6,396
Cash and Bank Balance	541	2,079	2,303	3,612	5,484
Loans and Advances	49	185	34	123	143
Other Current Assets	79	126	127	216	251
Total Current Assets	4,841	8,057	9,317	10,854	12,862
Less: Current Liabilities					
Sundry Creditors	121	127	124	237	275
Provisions	189	184	217	331	384
Other Current Liabilities	606	1,280	1,416	1,848	2,090
Total Current Liabilities	915	1,591	1,757	2,416	2,749
Capital Applied	7,718	9,249	11,499	12,394	14,066

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	1,067.2	2,012.7	3,112.1	3,342.4	4,178.5
(Less)/Add: Extraordinary Income/Expense	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(591.5)	(569.2)	(545.7)	(436.1)	(712.4)
Add: Depreciation	117.3	92.0	114.6	171.6	137.6
Add: Interest Paid	0.3	0.2	(0.2)	(0.8)	(0.8)
Tax Adjustment					
Operating Profit before WC Changes	593.3	1,535.8	2,680.9	3,077.1	3,602.9
(Inc)/Dec in Current Assets	(2,758.0)	(1,677.0)	(1,037.5)	(227.4)	(136.5)
Inc/(Dec) in Current Liabilities	181.4	676.0	165.5	658.9	333.6
Net Cash From Operations	(1,983.3)	534.8	1,808.9	3,508.5	3,800.0
CF from Investing Activities					
(Inc)/Dec in Fixed Assets	(48.2)	(34.6)	(50.0)	(50.0)	(50.0)
(Inc)/Dec in Capital Work In Progress	0.0	(100.6)	100.6	0.0	0.0
(Inc)/Dec in Investment (Strategic)	1,978.4	1,068.6	(1,233.3)	0.0	0.0
(Inc)/Dec in Investment (Others)	(41.2)	160.1	(25.6)	(340.7)	(84.6)
Add: Non Operating Income Income	591.5	569.2	545.7	436.1	712.4
(Inc)/Dec in Intangible Assets	(2.1)	(149.8)	(61.4)	201.5	0.0
Cash From Investing Activities	2,478.3	1,512.9	(724.0)	247.0	577.8
CF from Financing Activities					
Inc/(Dec) in Reserves & Surplus	(4.7)	(10.2)	919.7	0.0	0.0
Inc/(Dec) in Equity					
Dividend Paid	(503.9)	(470.3)	(1,874.8)	(2,013.0)	(2,507.1)
Tax Paid on Dividend					
Other Financing Activities	48.4	(10.8)	87.1	0.0	0.0
Less: Interest Paid	(0.3)	(0.2)	0.2	0.8	0.8
Adjustments	5.6	9.3	6.0	(433.8)	0.0
Cash from Financing Activities	(454.9)	(482.1)	(861.8)	(2,446.1)	(2,506.3)
Net Inc/Dec in cash equivalents	40.1	1,565.6	223.1	1,309.5	1,871.5
Opening Balance	555.0	540.7	2,079.5	2,302.5	3,612.0
Closing Cash and Cash Equivalents	595.1	2,106.3	2,302.5	3,612.0	5,483.5

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